

unable to provide clarity and a unified voice on how to classify bitcoin and cryptoassets.

The Commodity Futures Trading Commission (CFTC) also entered the fray when it charged a startup seeking to offer bitcoin-based options for not registering the product with it. This defined the asset as a commodity, not property, which would then be covered by the Commodity Exchange Act (CEA).³¹

The CFTC Director of Enforcement, Aitan Goelman, tried to clarify his opinion with this statement, “While there is a lot of excitement surrounding bitcoin and other virtual currencies, innovation does not excuse those acting in this space from following the same rules applicable to all participants in the commodity derivatives markets.”³² It is clearly confusing that the Director of Enforcement of the agency that ruled bitcoin a commodity also called it a “virtual currency.”

If some cryptoassets are commodities, this could open them up to different tax treatment than if they were considered solely as property. Commodities fall under the 60/40 tax ruling, meaning 60 percent of the gains on a commodity transaction are treated as long-term capital gains and 40 percent are treated as short-term capital gains. This is different from taxing stocks where profitably selling an equity after 12 months is classified as a long-term capital gain with a current tax rate cap of 15 percent. Selling prior to 12 months would be considered a short-term gain with the tax ramification based on an investor’s income bracket.